



LOW INCOME HOME ENERGY ASSISTANCE PROGRAM BLOCK GRANT ALLOCATION PLAN

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STATE OF CONNECTICUT
DEPARTMENT OF SOCIAL SERVICES

NED LAMONT
GOVERNOR

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LOW INCOME HOME ENERGY ASSISTANCE PROGRAM

BLOCK GRANT ALLOCATION PLAN

For Federal Fiscal Year 2026

I. INTRODUCTION

The Connecticut Energy Assistance Program (CEAP) is designed to help offset home energy costs of Connecticut's lower income households, specifically those households whose annual income falls at or below 60% of the state median income (\$91,854 for a family of four in 2025).

CEAP is funded by the U.S. Department of Health and Human Services' Low Income Home Energy Assistance Program (LIHEAP) block grant. At the time of the development of this allocation plan, the funding level for Federal Fiscal Year (FFY) 2026 has not been released. , The estimated budget used in this allocation plan for the operation of LIHEAP for FFY 2026 assumes that the program will be level funded at the state's LIHEAP base grant FFY 2025 level of \$81.7 million, plus an estimated \$7.2 million in FFY 2025 LIHEAP carryforward funds, and \$225,000 in LIHEAP vendor refunds, for a total estimated FFY 2026 budget of approximately \$89.2 million. This constitutes the Department of Social Services' best estimate of funding that may be available to support the LIHEAP Block Grant Allocation Plan ("the Plan").

The Department of Social Services (DSS) and its operational partners at the nine Community Action Agencies (CAAs) will work in conjunction with local governments, private human services providers, energy providers, and the General Assembly's committees of cognizance to assist Connecticut residents who are CEAP-eligible in maximizing potential energy assistance options.

As required by federal law, CEAP energy assistance benefits include the following:

1. Heating Benefits, including both a Basic Benefit and a Crisis Assistance Benefit component; and
2. Rental Assistance Benefits for renters with utility costs included in their rent.

Benefits available through CEAP vary to reflect need, cost, and/or energy burden. The FFY 2026 Plan is designed to provide the highest level of assistance to those households who have the lowest incomes, and the highest energy needs in relation to income, considering household size and vulnerability. DSS proposes to maintain the same benefit structure as in the FFY 2025 Allocation Plan.

The provision of assistance under CEAP is subject to the availability of funds. If funds provided for payments under the Plan are determined by the state to be in danger of exhaustion prior to the scheduled program end date, the state reserves the right to close the program or portions of the program. If federal funding is provided in an amount higher or lower than the level assumed under the Plan, program services and benefits may be adjusted.

The Plan provides a framework for overall program operation. DSS will develop and implement policies and procedures to further define the rules of operation.

II. ADMINISTRATION

The Department of Social Services' responsibilities in the administration of CEAP are to:

- A. Prepare and submit the LIHEAP Block Grant Allocation Plan to the Governor and, following legislative approval, submit the Plan to the federal government.
- B. Compile and submit any program reports required under state and federal law to the appropriate bodies.
- C. Act as grantee agency for the state for all LIHEAP funds.
- D. Ensure coordination of CEAP with other energy and conservation assistance programs offered by the state and other public or private entities.
- E. Contract with CAAs or any other non-profit or for-profit entities to provide standardized services to all eligible households, including those households receiving assistance from other DSS programs, and to process applications from any such households wishing to apply for benefits.
- F. Execute agreements with energy vendors to ensure program standardization and provide current lists of eligible vendors to DSS contractors.
- G. Ensure vendors are paid no later than ten business days after the CAA's receipt of an authorized fuel slip or invoice for payment from the vendor.
- G. Explore CEAP eligibility for households whose Temporary Family Assistance benefits are being discontinued as a result of time limitations.
- I. Provide informational materials to inform clients in writing of other energy and conservation-related programs administered or funded by the state.
- J. Allocate personnel resources necessary to provide reasonable protection against client or vendor fraud, develop anti-fraud strategies designed to strengthen program integrity, maintain a fraud referral method for reporting suspected program abuse, and investigate all reported claims of suspected program abuse.
- K. Track carryforward funds from prior program years.
- L. Develop an estimated budget of total expenditures for the program year and, for DSS and each contracting agency, a line-item budget of administrative expenditures for CEAP. The budget shall be based on the release of the block grant funding level or, if the release is delayed, then the assumption that the block grant will be funded at the prior program year's level.
- M. Provide the price per gallon for home heating oil purchased under CEAP.
- N. Track the number of gallons of home heating oil purchased under CEAP, the price paid through CEAP, the average retail price, and savings per gallon.
- O. Monitor the performance of the CAAs and program vendors in delivering services and in reporting to DSS.

- P. Provide standard application forms and format for all energy programs administered by the Department. The application form shall include a statement that non-qualified aliens are not eligible for energy assistance benefits (other household members who are either qualified aliens or citizens may be eligible for energy assistance benefits).
- Q. Maintain a system to verify recipients' Social Security numbers as part of the ongoing effort to maximize program integrity.

III. **PROGRAM DEFINITIONS**

For the purposes of the Plan, the following terms are defined:

Boarders – Persons whose meals are included in their rent. Boarders are not eligible to receive CEAP benefits.

Categorical Eligibility – A determination that a household is eligible for LIHEAP assistance based on eligibility and enrollment in another means-tested program, including Temporary Assistance for Needy Families (TANF), the Supplemental Nutrition Assistance Program (SNAP), State Supplement to the Aged, Blind and Disabled, Refugee Cash Assistance, or Supplemental Security Income (SSI). If a household is determined categorically eligible, intake staff do not need to repeat the income test for purposes of qualifying for LIHEAP assistance.

Dwelling Unit – Any residential property (i.e., apartment, house, or stationary mobile home) in which the occupants have exclusive kitchen facilities. It does not include commercial property, accommodations that have not been issued a certificate of occupancy or accommodations that are not listed as residential units in the tax assessor's records for the municipality where such accommodations are located.

Energy Burden – The percentage of household income spent on home energy costs.

Household – Any individual or group of individuals who are living together in a dwelling unit, or who purchase residential energy in common, or who make payments for such energy in the form of rent. Persons renting a room(s) within a dwelling unit are considered to be household members. Households do not include individuals who are boarders in rooming houses, who reside at an institution of higher learning, are incarcerated, or are foster children or foster adults.

Income/Mean of Support – Gross salaries/wages, tips, pensions, dividends, annuity distributions, interest, gross rental income, estate or trust income, royalties, Social Security, and veterans' benefits (excluding Aid and Attendance pension benefits), unemployment compensation, workers' compensation, monetary and non-monetary contributions from friends and relatives, alimony, child support, lottery winnings, self-employment income, and governmental assistance not otherwise excluded as income.

Life-tenant – A person entitled by law to occupy a property or dwelling for the duration of his/her life and who is responsible for maintaining the property.

Life-Threatening Situation – Any situation in which an eligible household is unable to secure primary deliverable heating fuel and is without (or within one week of) being without heating fuel.

Non-Qualified Aliens – Individuals residing in the United States who are not considered a "qualified alien" or "battered alien" under the provisions of 8 USC § 1641(b)-(c). Common examples of non-qualified aliens include, but are not limited to, Individuals who are in the United States legally but on a student, tourist, or work visa.

Primary Source of Heat – The principal fuel source used by a household to heat its dwelling unit.

Rental Assistance Households – Households which do not make direct vendor payments for their primary source of heat. Such households include renters with heating cost included as a portion of their rental fee and owners of dwelling units where the primary source of heat is not individually metered and is not separately billed to the household by a vendor.

Retail Price – The price charged by a vendor for services or product, exclusive of any discounts, delivered or provided to similarly situated, non-CEAP households.

Refugee Cash Assistance – DSS-administered federal funds related to the resettlement of refugees, assigned by the U.S. State Department to local affiliates of national voluntary resettlement agencies in Connecticut.

Renter – A tenant or a person who rents their dwelling unit.

State Supplement to the Aged, Blind and Disabled – a state-funded program that provides a cash assistance benefit to individuals who receive SSI or other income necessary to pay for basic living expenses.

Supplemental Security Income (SSI) – A federal income supplement program designed to help aged, blind, and disabled people, who have little or no income; it provides cash to meet basic needs for food, clothing, and shelter.

Supplemental Nutrition Assistance Program (SNAP) – A federally-funded program administered by the U.S. Department of Agriculture and DSS that provides nutrition benefits to supplement the food budget of needy families so they can purchase healthy food and move towards self-sufficiency.

Temporary Assistance for Needy Families (TANF) – A federal block grant administered by the Office of Family Assistance (under the U.S. Department of Health and Human Services' Administration for Children and Families) and DSS to help low-income families with children achieve economic self-sufficiency.

Temporary Family Assistance (TFA) – The state's cash assistance program for families which is claimed under the TANF block grant.

Vendors – Persons or companies that provide a source of heat to dwelling units in legally measured amounts supported by proper documentation.

Vulnerable Household – Any household in which one or more members is elderly (defined as 60 years of age or older), has a disability, or is under the age of six.

IV. INCOME ELIGIBILITY

- A. Any household which makes direct to vendor payments for heat and in which a household member is participating in one or more of the following benefit programs is considered "categorically eligible":
 - 1. Temporary Family Assistance (TFA)
 - 2. State Supplement to the Aged, Blind and Disabled
 - 3. Refugee Cash Assistance Program
 - 4. Supplemental Nutrition Assistance Program (SNAP)
 - 5. Supplemental Security Income (SSI)

Categorically eligible means that the income of the household member receiving one of these benefits does not need to be re-verified as eligibility for those programs includes an income determination. However, the household is not automatically placed in the Level 1 benefit tier, as the income of other household members must be verified to determine the correct benefit level, which would not be less than that provided for households with income between 201% of the federal poverty guidelines (FPG) and 60% of the state median income (SMI).

Note: While recipients of Supplemental Security Income (SSI) are categorically eligible, DSS does not administer this program and cannot verify SSI income through internal systems. Therefore, households must submit documentation of SSI income when applicable.

In addition, all categorically eligible households, must meet all other CEAP eligibility requirements to receive benefits.

150% OF 2025 FEDERAL POVERTY GUIDELINES

Household Size	1	2	3	4	5	6	7	8
Annual Income	\$23,475	\$31,725	\$39,975	\$48,225	\$56,475	\$64,725	\$72,975	\$81,225

(For households with more than eight members, add \$5,500 for each additional member.)

- B. CEAP benefits are available to eligible households with incomes at or below 60% of the state median income.

60% OF 2025 STATE MEDIAN INCOME GUIDELINES

Household Size	1	2	3	4	5	6	7	8
Annual Income	\$47,764	\$62,460	\$77,157	\$91,854	\$106,550	\$121,247	\$124,002	\$126,758

V. ELIGIBILITY CERTIFICATION

A. Basic Eligibility Criteria for Categorically Eligible Households

Members of a household that is deemed categorically eligible as described in Section IV.A. must apply in order to receive CEAP benefits. Categorically eligible household members are deemed to have met all income eligibility and income verification requirements based on their enrollment in the programs cited in Section IV.A.

B. Basic Eligibility Criteria for All Other Eligible Households

1. Income Documentation

For households that are not categorically eligible, or that contain household members whose income is not covered by a qualifying program, income documentation must be as follows:

- Income documentation from the previous thirty days or four consecutive weeks anytime in the past three months prior to the date of application, to be annualized.
- Alternatively, income documentation for the previous fifty-two weeks prior to the date of application may be submitted if it more accurately reflects the household's

annual gross income.

- Households with self-employment income must complete a self-employment worksheet, covering the previous six or twelve calendar months.

2. Energy Burden

At the time of application, each household that makes direct-to-vendor payments for their heat are required to submit a current copy of their electric utility bill, regardless of the household's primary heating source. This information will be used to determine a household's energy burden.

C. Application Process

State residents may apply for energy assistance online, by email or mail using the standardized program application form, or in person at their local CAA or intake site. Residents may also initiate the application process by phone. In-person applications are taken in confidential settings to the maximum extent practicable. Documentation of income must be verifiable, or supported by affidavits, and households are required to fully comply with all reasonable requests for assistance in verifying eligibility through documentation. The state, through its agents or grantees, reserves the right to investigate and verify the income of households in order to protect the integrity of the program.

D. Households Claiming No Income

Households claiming no income in the period prior to the application date must sign and submit an affidavit declaring their means of support for that period. The affidavit is required to include authorization to allow the state, through its agents or grantees, to verify all income and the financial status of the household.

E. Household "52-week" Option

Any household has the option of having an eligibility determination based on income from all household members for the 52 weeks prior to the date of application if that presents a more accurate reflection of the household's annual income.

F. Temporary Family Assistance (TFA) Households

Households whose TFA benefits have expired due to program time limits will be contacted directly by the CAA to encourage their participation in the energy assistance program.

G. Prioritized Services

Households shall qualify for "prioritized services" if they meet the following criteria:

- Heat with a deliverable fuel;
- Are without heating fuel or are within one week of being without heating fuel; and
- Submit a completed application during the program period in which fuel deliveries may be authorized.

Prioritized services include processing completed applications within 24 hours, or on the next business day, in order to determine eligibility. A deliverable fuel heated household that is determined eligible under these circumstances shall receive a fuel delivery authorization no later than 18 hours after the household has been determined eligible.

H. Notification of Appeals

The CAA shall provide a written notice of the results of an eligibility determination to the household within 45 calendar days, excluding state designated holidays.

If a household does not agree with the CAA's eligibility determination or receives notification of eligibility/ineligibility within the time specified above, the household has the right to request a desk review with the CAA. If the household is dissatisfied with the results of the desk review, the household has the right to request a Fair Hearing with the Department of Social Services. At the time of application, all households receive written notification of their rights and obligations, including the procedures for requesting a desk review or fair hearing. The decision made by DSS is final.

I. Social Security Numbers

Social Security numbers provided by the applicant for all household members will be entered in the Social Security number fields. Apart from the exceptions noted below, Social Security numbers are required for all household members.

Exceptions are made for applicants and/or household members who have either:

- Applied for, but not yet received, a Social Security number; or
- Are not required to have a Social Security number (includes battered spouses and victims of human trafficking).

J. Non-Qualified Aliens

Non-qualified aliens are not eligible for CEAP benefits. However, other household members who are either qualified aliens or citizens may be eligible for CEAP benefits.

K. Households with Non-Qualified Aliens

Non-qualified aliens shall not be included as part of the household when determining eligibility for CEAP benefits; however, income from non-qualified aliens is required to be included when determining eligibility for CEAP benefits.

VI. PROGRAM INTEGRITY

Social Security numbers are collected by the CAAs for all CEAP applicants and household members, except those identified in Section V.J. The CAAs, through the automated Social Security number data transfer system implemented by DSS, will electronically transmit the Social Security numbers of all applicants and household members requesting benefits through CEAP.

As part of the ongoing effort to ensure that CEAP benefits are only provided to eligible households, the CAAs administering CEAP will continue to have inquiry access to the Department's ImpaCT system. This access enables participating CAAs to confirm the identity of those applicants and household members who are currently or have previously received assistance through various DSS administered programs including, but not limited to: Temporary Family Assistance, SNAP, Refugee Cash Assistance Program, and State Supplement to the Aged, Blind and Disabled. This access aids program administration when determining elements of program eligibility including household composition, address, and income.

To further support program integrity and facilitate the enrollment of qualifying individuals, DSS and the CAAs will continue to conduct periodic data matches of pending applications against DSS enrollment files as a means to qualify individuals. DSS programs that confer categorical eligibility for CEAP require adherence to income verification policies comparable to or more demanding than those required for CEAP.

To ensure the authenticity of vendors, all heating oil and propane vendors wishing to participate in CEAP must provide DSS with verification that they have registered with the Department of Consumer Protection (DCP) in accordance with section 16a-23m of the Connecticut General Statutes.

VII. FRAUD

Persons who, following the completion of due process procedures defined in agency regulations, are found to have misrepresented their circumstances when applying for energy assistance are subject to prosecution and/or recoupment of benefits provided, and are ineligible to receive services during the remainder of the current program year. In addition, said households are prohibited from participation for a period of two program years subsequent to the year in which the misrepresentation occurred. Persons who divert benefits to ineligible households are subject to the same penalties, following proper due process as defined in agency regulations.

Vendors or home energy suppliers suspected of fraud, misrepresentation, or a violation of any aspect of the Vendor Participation Document may be suspended from participation in CEAP while legal proceedings are pending. Vendors or home energy providers convicted of fraud will be suspended from participation in CEAP for a period of five years following the year in which the offense occurred or was identified.

The Department maintains a Fraud Hotline (1-800-842-2155) for individuals and vendors to report cases of suspected program abuse. Additionally, the Department has a webpage that details information about efforts to identify and eliminate fraud. Suspected abuse of CEAP services can be reported by completing a complaint form found on the webpage: <https://portal.ct.gov/DSS/Quality-Assurance/To-Report-Fraud-or-Abuse-of-Programs>.

Finally, the CAAs refer applications to DSS' Office of Community Services when there is a questionable discrepancy or suspected misrepresentation by an applicant.

VIII. BASIC BENEFIT LEVELS

Basic Benefit awards are determined based on income, household size and vulnerability. Vulnerable households and households with the lowest incomes receive the highest awards.

Note: Boarders are not eligible to receive CEAP benefits.

The chart below details the Basic Benefit awards:

BASIC BENEFITS

Level	Poverty Guidelines	Vulnerable Households	Non-Vulnerable Households
1	At or below 125% FPG	\$645	\$595
2	126% FPG – 200% FPG	\$495	\$445
3	201% FPG – 60% SMI	\$345	\$295

If the final funding level released for FFY 2026 is greater or less than the estimated funding level used to develop this Plan, DSS may adjust the Basic Benefits and/or income eligibility criteria to reflect the difference.

IX. RENTAL ASSISTANCE BENEFIT LEVELS

Rental Assistance Benefits are available to those households who do not make direct-to-vendor payments

for their primary source of heat and have annual gross incomes up to 60% of state median income.

Note: Boarders are not eligible to receive Rental Assistance Benefits.

Households that are determined eligible for Rental Assistance Benefits will receive a direct cash benefit to defray heating costs.

The chart below details the Rental Assistance Benefit awards:

RENTAL ASSISTANCE BENEFITS

Level	Poverty Guidelines	Amount
1	At or below 125% FPG	\$125
2	126% FPG – 200% FPG	\$100
3	201% FPG – 60% SMI	\$75

Rental assistance households must present verifiable documentation that utilities are included in their rental fee.

Households that receive Rental Assistance Benefits and move to a location where they become responsible for their primary heat may receive Basic Benefits up to the maximum available to a household at the appropriate benefit level, less any Rental Assistance Benefits already received. For example, a household that has received \$140 in rental assistance benefits and subsequently moves to a non-rental assistance situation, and is determined to be vulnerable, could be eligible for a \$640 Basic Benefit, less the Rental Assistance Benefit received. That household would now be eligible to receive a Basic Benefit of up to \$500 toward their primary source of heat. Crisis Assistance may also be available if the new primary source of heat is a deliverable fuel, and the household meets the criteria for this benefit.

Conversely, if a household moves from a location where they are responsible for payment of their primary source of heat to a dwelling unit where they are not required to make direct-to-vendor payments for their primary source of heat, they may receive the difference between what they have received in Basic Benefits and what they would be eligible to receive under the Rental Assistance Benefits matrix. For example, a household with direct-to-vendor obligations that has had a \$100 oil delivery and thus expended \$100 of its \$640 Basic Benefit, and who subsequently moves to a dwelling unit where they are eligible for Rental Assistance Benefits, would be able to receive the \$135 Rental Assistance Benefit, less the expended amount of the Basic Benefit. That household would now be eligible to receive up to \$35 in Rental Assistance Benefits. When the household becomes eligible for the Rental Assistance Benefit, they are no longer eligible for a Basic Benefit. Such households must document the change in circumstances, including verification of utilities being included in their rental fee, but do not need to have their income redetermined.

No more than one Rental Assistance Benefit will be issued per dwelling unit. If the final funding level released for FFY 2025 is greater or less than the estimated funding level used to develop this Plan, DSS may adjust the Rental Assistance Benefits.

X. LIHEAP BENEFITS FOR SNAP HOUSEHOLDS

Supplemental Nutrition Assistance Program (SNAP) recipient households that do not make direct-to-vendor payments for their primary source of heat but have a shelter and/or utility obligation are eligible to receive LIHEAP benefits. These households receive the lowest LIHEAP payment because they have the lowest energy burden.

Effective with the enactment of the Consolidated Appropriations Act, 2024 (“Big Beautiful Bill”), federal law

limits the use of LIHEAP funds solely to vulnerable households when benefits are provided solely to trigger or increase eligibility for the SNAP Standard Utility Allowance (SUA). As a result, non-vulnerable households, those without elderly, disabled or child under the age of 6, member, are no longer eligible to receive LIHEAP solely for the purpose of qualifying for the SNAP SUA.

Eligible SNAP households will receive a direct cash benefit in the amount of \$20.01. This benefit will be issued by the Department to all eligible SNAP households who have not received a CEAP Basic Benefit or Rental Assistance Benefit. Receipt of a LIHEAP benefit qualifies the household to have their SNAP benefits recalculated using the maximum heating/cooling Standard Utility Allowance (SUA). As in prior years, using the SUA in the SNAP benefit calculation simplifies administrative processes and often results in increased SNAP benefits for the household.

XI. CRISIS ASSISTANCE BENEFIT

A. *Deliverable Fuel Heated Households*

The state will continue to offer up to three Crisis Assistance benefits for all eligible households during the program year. The Crisis Assistance benefit is designed to address the heating needs of deliverable fuel heated households that have exhausted their Basic Benefits and are at imminent risk of losing heat. Eligible deliverable fuel heated households that are unable to secure their primary source of heat and are eligible for energy assistance may receive a Crisis Assistance benefit of \$425 per issuance.

A redetermination of income eligibility is not required to receive Crisis Assistance. Households approved for a Crisis Assistance benefit will receive an authorization for a fuel delivery within 48 hours or 18 hours in life-threatening situations.

B. *Utility Heated Households*

Pursuant to section 16-262c of the Connecticut General Statutes, CEAP utility heated households are protected from winter disconnection and are therefore not eligible to receive the needs-based Crisis Assistance benefit. If a utility heated household's service has been disconnected, or disconnection is being threatened, the CAA will work directly with the utility vendor to reinstate the service or to prevent the disconnection.

Matching Payment Program

The CAAs are required to assist those electric and gas utility heated households with a past due account balance with enrolling in the Matching Payment Program (MPP). Pursuant to section 16-262c of the Connecticut General Statutes, the MPP enables income eligible households to maximize their energy benefits, reduce and/or eliminate their service arrearages and empower households to gain greater control of their energy costs. Under MPP, income eligible households enter an affordable payment arrangement with their utility vendor.

For all customers on MPP, the utility will provide a dollar-for-dollar match of both the total customer payments made and the amount of CEAP payments provided on behalf of the customer. The resulting match is applied to the customer's past due account balance, down to a \$0 balance.

Since November 2024, customers can participate in MPP for non-heating utilities as the customer meets the eligibility requirements of the program. While customers are always encouraged to apply for CEAP because the utility will match CEAP payments for anyone participating in MPP, customers are no longer required to receive CEAP funds to participate in MPP. Only utilities regulated by PURA are required to offer MPP.

Once a household is found to be eligible for CEAP, the CAAs inform the utility companies and electric households are automatically enrolled in the Low-Income Discount Rate (LIDR) for further reductions in their electric bill. Based on the data sharing between the utilities and DSS, households eligible for DSS-administered benefits (such as SNAP) are automatically designated as financial hardship on gas and electric utility accounts in their name and will receive the LIDR on their electric utility account.

XII. PROGRAM DATES

For FFY 2026, program dates are as follows:

November 3, 2025	First day for fuel deliveries that can be paid by the program
April 1, 2026	Deadline for fuel authorizations for deliveries
May 29, 2026	Last day that a household can apply to establish its eligibility for benefits
June 17, 2026	Last day to submit deliverable fuel bills

XIII. CONSERVATION SERVICES

In addition to receiving energy assistance benefits, eligible households may also qualify for the following conservation services:

A. Weatherization

Any household whose annual gross income is at or below 60% of the state median income guidelines is income eligible for the U.S. Department of Energy's Weatherization Assistance Program administered by the Connecticut Department of Energy and Environmental Protection (DEEP). The application for CEAP services is also utilized to determine the household's income eligibility for the weatherization program administered through DEEP. Weatherization services are provided through contracted entities with DEEP on a first come, first served basis, based on the availability of funds. Prioritization for weatherization services may be further prioritized for vulnerable households.

This Plan includes \$500,000 in LIHEAP funding to DEEP to support its Residential Energy Preparation Services (REPS) program for the purpose of addressing health and safety barriers in the homes of CEAP eligible households that will allow access to weatherization services that improve the energy efficiency of the home, reduce future energy bills, and improve the health of residents. The funding includes \$450,000 for program services and \$50,000 for associated administrative costs. This important initiative leverages federal funding to address barriers to home weatherization, improve energy efficiency, and make homes safer for low-income families. Helping state residents to have a safe and warm home while reducing the state's energy burden achieves key goals of the energy assistance program. DEEP may use the funds for other purposes that comply with the U.S. Department of Energy and LIHEAP weatherization requirements. DSS will retain oversight responsibilities for the funding.

B. Clean, Tune and Test

Upon request, funds will be provided to eligible deliverable fuel households to cover the cost of a clean, tune and test of their household's deliverable fuel heating system. Renters must receive written permission from their landlord in order to receive this benefit. Costs for the clean, tune and test will be covered with funds set aside for the heating system repair or replacement component.

C. Heating System Repair or Replacement

The Department will provide \$1.2 million in LIHEAP funds for the repair or replacement of heating systems, tanks, and water heaters (only in combi-boiler systems) for single family, owner-occupied/life-tenant occupied dwellings that are determined to be unsafe or inoperable. Vendors performing the repair or replacement work will be selected competitively. These funds are available for households eligible for CEAP and may be prioritized for vulnerable households. CAAs will not issue an authorization for a fuel delivery in cases where heating systems, including leaking fuel tanks, have been “red tagged” by a vendor or contractor certified to evaluate heating systems. The provision of these services is based on the availability of funds.

D. Performance Measures

As required by the U.S. Department of Health and Human Services (HHS), the Department will collect energy consumption information from vendors for households eligible for CEAP benefits. This data will be used to compute the energy burden of households receiving assistance. This information will allow the state to better focus future energy benefits on to those households with the highest energy burdens.

XIV. ADDITIONAL BENEFITS / SERVICES

This allocation plan has been developed based on the assumption that the total funding available in FFY 2026 for LIHEAP will be approximately \$87.8 million. This assumes block grant funding at the FFY 2025 base level, anticipated carryforward funds, and vendor refunds. No Infrastructure Investment and Jobs Act funding is assumed for this plan.

If the state receives funding at a level less than that specified in the Plan, benefit payment levels and/or income eligibility criteria may be adjusted. The Department will determine priorities for applying any reductions accordingly and will take into consideration recommendations from the Low-Income Energy and Water Advisory Board.

Should block grant funds received exceed the amount required to meet the benefit levels specified in the Plan, the additional funds may be utilized to provide some or all of the following:

- Additional Crisis Assistance benefits to eligible households
- An additional benefit on behalf of utility and/or deliverable fuel heated households
- Increase to Basic Benefits
- Increase to Rental Assistance Benefits
- Increase to LIHEAP SNAP benefits
- Extension of the deliverable fuel authorization period
- Extension of the program intake period
- Additional funding for heating system replacements to address unsafe/inoperable units
- Funding for weatherization services for health and safety and other weatherization measures
- Cooling assistance to eligible households
- Heating assistance to state-funded homeless shelters.

Should contingency funds be released and designated to be used for cooling measures, funds will be used in accordance with guidance provided by HHS.

In response to the demonstrated need for expanded operational flexibility, DSS has implemented an online application process for energy assistance.

In accordance with section 4-28b of the Connecticut General Statutes, after recommended allocations have been approved or modified, any proposed transfer to or from any specific allocation of a sum or sums of over \$50,000 or 10% of any such specific allocation, whichever is less, shall be submitted by the Governor to the speaker and the president pro tempore and approved, modified, or rejected by the committees. Notification

of all transfers made shall be sent to the joint standing committee of the General Assembly having cognizance of matters relating to appropriations and the budgets of state agencies and to the committee or committees of cognizance, through the Office of Fiscal Analysis.

XV. PAYMENTS

In order for deliverable fuel heated households to receive CEAP benefits, bills for deliverable fuel must be submitted to the CAA and must be in the name of an adult household member or an emancipated minor. For households that heat with propane, kerosene, wood, or coal, payments will be based upon the actual cost of the delivery as stated on a valid bill. For households that heat with oil, payments will be made in accordance with one of the two approved CEAP oil pricing models: (1) Margin Over Rack (MOR), which uses Data Transmission Network (DTN) daily average rack price from four Connecticut terminals (Bridgeport, Hartford, New Haven, and Norwich) plus a fixed margin of \$0.50 per gallon, or (2) Discount Off Retail (DOR), which applies a fixed \$0.35 per gallon discount to the vendor's lowest posted retail price. Payments will only be processed for deliveries made on or after November 3, 2025, and will be issued regardless of any customer payments made toward the bill. Unless otherwise specified in the Plan, all payments will be made directly to the authorized deliverable fuel vendor.

Pursuant to section 16a-41a of the Connecticut General Statutes, CAAs are required to pay oil vendors that participate in CEAP no later than ten business days after the CAA's receipt of an authorized fuel slip or invoice for payment from the vendor. The Department has established and implemented protocols to ensure that vendors are paid by the CAAs in accordance with the timeframe that the Department established during the 2023 program year, which is now memorialized in state statute.

In order for a utility heated household to receive a Basic Benefit, the utility account must be in the name of a household member who is of majority status or an emancipated minor. Verification of the utility account number must be provided. Only residential accounts are eligible for payment. Basic Benefit payments will be credited to the household's utility account regardless of other payments made to the utility account. Basic Benefits are for utility costs incurred from November 3, 2025 – May 29, 2026. Should the Basic Benefit exceed the charges for the utility service incurred during this period, the utility company shall refund the difference directly to DSS by September 30, 2026. If a household moves and cannot be located, and a credit balance resulting from a CEAP payment(s) exists in their utility account, the balance is to be returned directly to DSS within sixty days of the close of the utility account.

Basic Benefit payments to electric distribution companies will be credited in accordance with DEEP regulations adopted pursuant to section 16-245d of the Connecticut General Statutes.

No payments will be issued on behalf of, nor services authorized to, unoccupied dwelling units.

If a household moves and their heating source and/or utility company changes, they may re-designate any unobligated portion of their Basic Benefit. Crisis Assistance benefits may be provided to eligible households if the new primary source of heat is a deliverable fuel, and the household meets the eligibility requirements as detailed in section XI.

If a household's heating system becomes inoperable, the household has the option of utilizing a secondary heating source during the period of inoperability. The household may choose to go back to the original primary source of heat once the heating system has been repaired or replaced.

Basic Benefits may pay for the cost of a start-up of a household's natural gas heating system (not including reconnection fees) if the household makes direct-to-vendor payments and natural gas is the household's primary heating source. CEAP benefits may pay for the cost of a start-up of a household's deliverable fuel heating system, provided the charge is the same that the vendor charges to all similarly situated customers

who are not receiving CEAP assistance.

Each site making authorizations or payments will be responsible for keeping an up-to-date control card or computer record for each eligible household. This control file will detail the benefits awarded to the household and will include the heating source, authorized deliveries/services, and payments issued on behalf of the household.

Payments made directly to, or on behalf of, CEAP households shall not be considered income or resources for any purpose under any federal or state law in accordance with section 2605(f)(1) of the federal LIHEAP statute (42 U.S.C. §§ 8621-8630).

XVI. VENDORS

All energy vendors wishing to participate in CEAP must complete and submit a "Vendor Participation Document" which outlines the conditions under which payments will be made to each type of vendor. As part of the modernization of vendor processes, the Department has launched a new deliverable fuel online portal, which now enables vendors to create profiles, submit required documents, update business information, and maintain account details throughout the program year. Vendors are encouraged to utilize this portal to streamline communications and ensure timely updates to their participation status. For vendors who do not have internet access or prefer traditional submission methods, the Department will continue to accept the Vendor Participation Document via paper application, fax, or postal mail.

The only exceptions will be vendors of wood, wood pellets and coal, whose practices as energy suppliers to CEAP clients will be governed by existing state statutes. In accordance with requirements from the U.S. Department of Health and Human Services, vendors with large customer bases will be required to provide annual fuel consumption data for their customers that receive CEAP benefits. The collection of this data supports the determination of a household's energy burden, allowing CEAP to better target the highest levels of benefits to households with the greatest energy needs in future program years.

The purpose of the Vendor Participation Document is to ensure program standardization, fair treatment of CEAP customers by vendors, and to establish the terms of payment for customers receiving CEAP assistance. This includes a requirement that vendors offer the same price discounts (including early payment discounts) to CEAP recipients as they do to similarly situated non-CEAP customers.

The Vendor Participation Document also establishes the pricing and reimbursement mechanism the state will use for oilheated households under CEAP.

Vendors who submit the Vendor Participation Document and verify their registration with the Department of Consumer Protection will be placed on a list of "authorized vendors" maintained by DSS and shared with the participating CAAs. Submission of the required documents does not guarantee a right to participate in CEAP. The state reserves the right to deny participation if a vendor does not meet additional program requirements or is suspected of fraud, misrepresentation or violating the terms of the Vendor Participation Document.

The state reserves the right to inspect or audit the records of any deliverable fuel vendor submitting bills for CEAP payment, both before and after payment, to verify the charges and ensure proper crediting of customer accounts.

XVII. DELIVERABLE FUEL VENDOR PRICING PROGRAM

As a part of the transition to the new pricing structures for the 2025-2026 CEAP season, county differentials will no longer be applied to determine vendor fuel pricing. This change aligns with the shift from OPIS (Oil Price Information Service), which was limited to a single terminal in New Haven, to DTN (Data Transmission Network), which provides rack pricing from four terminals across Connecticut (Bridgeport, Hartford, New

Haven, and Norwich). The expanded terminal coverage under DTN allows for more regionally representative pricing, eliminating the need for county-based price adjustments.

Pricing Models:

As discussed in the payments section above, CEAP will now offer two pricing models: Margin-Over-Rack and Discount-Off-Retail. Deliverable heating oil vendors participating in CEAP must select one of the two pricing models for the program year.

- **Model 1:** Margin-Over-Rack (MOR) Model. This model is based on DTN's ULHOB5 daily rack average price (the standard wholesale terminal price for heating oil) as the base to which a fixed margin of \$0.50 per gallon is added.

Example for Model 1 – Bridgeport terminal price as of March 31, 2025:

DTN Rack Average Price (ULHOB5)	\$2.275 per gallon
Fixed Margin	<u>0.50</u>
CEAP Price per Gallon	\$2.775

- **Model 2:** Discount-Off-Retail (DOR) Model. This model is based on the vendor’s lowest posted retail price for all customers is used minus a fixed discount of \$0.35 per gallon. This pricing structure is applicable exclusively to deliverable heating oil and will remain in place throughout the current energy season.

Example for Model 2 – Bridgeport vendor’s retail price as of March 31, 2025:

Vendor’s Retail Price	\$2.71 per gallon
Discount	<u>0.35</u>
CEAP Price per Gallon	\$2.36

Transparency in Billing:

CEAP customers cannot be charged the difference between the vendor’s retail price and CEAP reimbursement. Vendors agree that in the case of receipt of payment for a delivery from both an energy assistance customer and a Community Action Agency, the deliverable fuel vendor must reimburse the customer if the customer requests. Reimbursement shall be for the amount paid by the customer.

Other Fuels:

Kerosene and propane will be paid at the vendor’s standard retail price.

- Maintain detailed records of all deliveries and any discounts provided to fuel assistance recipients and share this information with the Department upon request.
- Keep supplier pricing sheets documenting the daily posted retail price and provide them when requested.
- Allow the state to audit account records, as permitted by law, to confirm that fuel assistance recipients are charged the same daily posted retail price as non-fuel assistance customers.

Emergency Closures:

In the event of a state office closure, the last posted rate will remain in effect until the offices reopen.

Eligible Delivery Dates:

Deliveries made before eligibility has been determined may be reimbursed if the customer is found eligible, and the delivery was made on or after November 3, 2025, and April 1, 2026, or if authorized by April 8, 2026.

XVIII. INFORMATION AND REFERRAL

The State of Connecticut will continue to work with local governments and other human services providers to implement localized information and referral systems that will address the needs of CEAP eligible households who have exhausted their benefits. Connecticut's 2-1-1 will continue to serve as the referral network system and will work to identify services for CEAP households that will help to alleviate crises following exhaustion of benefits. Connecticut has established a new unified website for energy assistance access and reference at www.ct.gov/heatinghelp.

DSS will provide energy assistance notifications to all recipient households, informing them of the availability of benefits. In addition, referral flyers describing fuel assistance programs, weatherization services, energy conservation loans and private fuel bank assistance are made available online at www.ct.gov/heatinghelp and in DSS, Department of Motor Vehicles, and CAA offices. CAAs will continue to operate and maintain a network of approximately 180 intake sites throughout the state (e.g., senior citizen centers, municipal social services offices). In addition, CAAs will assist homebound households in applying for CEAP benefits. This may involve the use of online, telephone and mail-in applications or outreach visits to households with homebound members.

CAAs use a single application to determine eligibility for CEAP and income eligibility for the U.S. Department of Energy's Weatherization Assistance Program. DSS introduced a new online application in 2021 and has worked to enhance the application, including adding mobile device optimization. In addition to the U.S. Department of Energy's weatherization program, services under the Home Energy Solutions-Income Eligible program are also supported by the Connecticut Energy Efficiency Fund, which provides weatherization measures to help income eligible residents reduce their energy bills by making their homes more energy efficient. DSS will also continue to work with Eversource, United Illuminating and the Public Utilities Regulatory Authority regarding notification and implementation of the low-income discount rate for eligible households, including CEAP households.

Efforts will be made to identify other energy resources, municipal, charitable, or private (such as Operation Fuel, the Soldiers, Sailors, and Marines Fund, and the Connecticut Housing Finance Authority), which may be available to low-income households. The Department will work with these providers, other state agencies, and municipalities to establish a coordinated response to alleviate potential crises due to a low-income household's inability to pay for heat. This response may include such actions as providing alternative housing arrangements (e.g., referral to shelters), as well as direct service intervention, when appropriate, by protective services agencies.

Operation Fuel is a private, non-profit organization that distributes privately raised funds through a network of fuel banks that accept and approve applications from households in need of emergency fuel deliveries or protection against utility shutoffs. Those households that meet the Operation Fuel guidelines are issued referrals by the CAA for these benefits. In addition, if funding permits, Operation Fuel can provide limited assistance to CEAP eligible households who are facing a crisis because they have exhausted all available CEAP benefits, or because they did not apply for CEAP benefits by the required deadlines.

XIX. ASSURANCE 16 ACTIVITIES

In accordance with LIHEAP regulations, and contingent upon the availability of funds, CAAs will provide enhanced case management to assist low-income households in reducing their overall energy needs/burden. Such services include, but are not limited to, vendor mediation, budget counseling, interfacing with other non-profit fuel assistance programs, and energy conservation services. These services are aimed at enabling households to achieve a greater degree of self-sufficiency, thereby reducing, or eliminating their need for energy assistance services.

XX. BUDGET

A. The estimated LIHEAP budget for FFY 2026 is as follows:

\$81,730,366	2026 LIHEAP Block Grant
7,281,198	2026 LIHEAP Carryforward Funds
<u>225,000</u>	2026 Vendor Refunds
\$89,236,564	Total 2026

B. LIHEAP benefit payment/administration breakdown¹:

\$76,288,527	LIHEAP Benefit Payments
8,123,037	LIHEAP Administration ^{1,2}
1,200,000	Assurance 16 ¹
1,200,000	Furnace Repair & Replacement
275,000	System Enhancements
500,000	DEEP Weatherization Barrier Remediation
50,000	Outreach Activities
<u>1,600,000</u>	LIHEAP SNAP
\$89,236,564	Total

C. Estimates of the FFY 2026 LIHEAP vulnerable caseload:

Total eligible households with an elderly member	32,920
Total eligible households with a member with a disability	14,020
Total eligible households with young children	9,830
Total eligible households	100,375

Of the total estimated FFY 2026 LIHEAP eligible households, it is anticipated that approximately 33% will have elderly members, 14% will have members with disabilities and 10% will have a young child or children under 6 years of age.

¹ If there is a reduction in LIHEAP funding, DSS may reduce the Administrative and/or Assurance 16 budgets.

² As a condition of awarding administrative funds, DSS may require a CAA to make changes in CEAP management and staffing. Such changes may be deemed necessary by DSS to ensure that the funds awarded will have a significant positive impact on program performance. LIHEAP Administration includes funding for program audits.